

Calendar Line 1

Case Name: Newhouse v. Owens Corning Insulating Systems, LLC, et al. (Class Action)
Case No.: 22CV397048

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On April 19, 2022, plaintiff Marcell Newhouse began this action by filing a class action complaint against defendants Owens Corning Insulating Systems, LLC, and Owens Corning Sales, LLC (collectively, “Defendants” or “Owens Corning”), asserting various causes of action based on Labor Code violations.

On June 11, 2024, plaintiffs Marcell Newhouse and Abigal Cristobal (collectively, “Plaintiffs”) filed the operative first amended class action complaint, asserting the following causes of action: (1) unpaid overtime; (2) unpaid meal period premiums; (3) unpaid rest period premiums; (4) unpaid minimum wages; (5) final wages not timely paid; (6) wages not timely paid during employment; (7) non-compliant wage statements; (8) failure to keep requisite payroll records; (9) unreimbursed business expenses; (10) violation Business and Professions Code section 17200, *et seq.*; (11) violation of Labor Code section 2698, *et seq.* (Private Attorneys General Act (“PAGA”)).

The parties have reached a settlement. Plaintiffs now move for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad

discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244-245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs’ case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of factors depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the “proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned.” (*Ibid.*, citation and internal quotation marks omitted.)

The burden is on the proponent of the settlement to show that it is fair and reasonable. However, “a presumption of fairness exists where: (1) the settlement is reached through arm’s-length bargaining; (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small.” (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that “[t]he superior court shall review and approve any settlement of any civil action filed pursuant to” PAGA. The court’s review “ensur[es] that any negotiated resolution is fair to those affected.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-

five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S.____, 2022 U.S. LEXIS 2940.)

Like its review of class action settlements, the Court must “determine independently whether a PAGA settlement is fair and reasonable,” to protect “the interests of the public and the LWDA in the enforcement of state labor laws.” (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76-77.) It must make this assessment “in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 [“when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public”], quoting LWDA guidance discussed in *O’Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O’Connor*).)

The settlement must be reasonable considering the potential verdict value. (See *O’Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-cv-02198-EMC) 2016 WL 5907869, 2016 U.S. Dist. LEXIS 140759, at *20-24.)

III. DISCUSSION

A. Provisions of the Settlement

Plaintiff moves for approval of a settlement made on behalf of:

All hourly-paid or non-exempt employees of Owens Corning who were employed at Owens Corning’s Santa Clara, California facility during the Class Period [April 19, 2018, through the date of preliminary approval]. (“Settlement Class” or “Settlement Class Members”)

(Declaration of Helene Mayer (“Mayer Decl.”), Ex. 1 (“Agreement”), II.6, 11.36.) The settlement also includes a subset PAGA class of Aggrieved Employees, defined as: “all hourly-paid or non-exempt employees of Owens Corning who were employed at Owen’s Santa Clara,

California facility during the PAGA Period [August 7, 2022, through the date of preliminary approval].” (*Id.* at 11.20, II.22.)

Defendant will pay a gross settlement amount of \$1,400,000. (Agreement, § II.13.) This amount is subject to an escalator clause triggered should the actual number of workweeks exceed the currently estimated number by more than seven and one-half percent. (*Id.* at § II.62.) The gross settlement amount includes attorney fees of up to one-third of the gross settlement amount (currently estimated to be \$490,000), litigation costs not to exceed \$60,000, a PAGA allocation of \$100,000 (75 percent of which will be paid to the LWDA and 25 percent of which will be paid to PAGA Employees as individual PAGA payments), service payments totaling up to \$15,000, and settlement administration costs estimated to be \$20,000. (*Id.* at §§ II.2, II.7, II.21, II.34.)

The net settlement amount will be distributed to participating class members on a pro rata basis according to the number of workweeks they were employed by Defendant. (Agreement, §§ II.14, II.23, III.46.) Individual PAGA payments will be distributed on a pro rata basis depending on the number of workweeks worked. (*Id.* at § III.47.) The Agreement provides that Phoenix Class Action Administration Solutions (“Phoenix”) will serve as the settlement administrator. (*Id.* at § III.35.) The court approves Phoenix as the settlement administrator. The Agreement further provides that any funds from settlement checks remaining uncashed after the void date (180 days after mailing) will be transmitted to Swords to Plowshares as the *cy pres* beneficiary. (*Id.* at § III.65.) The court approves the *cy pres* designation.

In exchange for the settlement, the class members agree to release Defendant, and related entities and persons, from all claims based on the facts and legal theories asserted in the operative complaint, which arose during the Class Period. (Agreement, §§ II.28, II.30, II.31.) PAGA members will be deemed to release all claims for PAGA civil penalties based on the facts and legal theories asserted in the operative complaint. (*Id.* at §§ II.29-II.31.) The release provisions are based on and tailored to the factual allegations of the operative pleading. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 538.)

B. Fairness of the Settlement

Plaintiffs contend the court should approve the settlement because it is fair, reasonable, and adequate and because it resulted from arm's-length negotiations based upon investigation and discovery. (Motion, pp. 10:15-14:9.) Plaintiffs' counsel states that the parties participated in two formal mediations with Hon. Daniel J. Buckley. (Mayer Decl., ¶ 12.) Prior to mediation, the parties exchanged extensive class information and engaged in discussions regarding their evaluations of the cases. (*Ibid.*) Counsel conducted significant investigation and informal discovery regarding the facts of the case, including the analysis of Class Members' time and pay data as well as Defendants' employee handbook and policies. (*Id.* at ¶ 13.)

Nevertheless, the material provided by Plaintiffs' counsel do not include an analysis of the value of the claims or the discounts that were applied in arriving at the gross settlement amount. The court agrees with Plaintiffs' assertion¹ that "a presumption of fairness exists where: (1) the settlement is reached through arm's-length bargaining; (2) investigation and discovery to allow counsel and the court to act intelligently; (3) counsel is experienced in similar litigation; and (4) the percentage of objectors is small." (*Wershba, supra*, 91 Cal.App.4th at p. 245, citation omitted; see also *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801.)

Even so, a court may not "determine the adequacy of a class action settlement without independently satisfying itself that the consideration being received for the release of the class members' is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) In the final analysis, "the court has a fiduciary responsibility as guardians of the rights of absentee class members when deciding whether to approve a settlement agreement," and "it is the court that bears the responsibility to ensure that the recovery represents a reasonable compromise, given the magnitude and apparent merit of the claims being released, discounted by the risks and expenses of attempting to establish and collect on those claims by pursuing the litigation." (*Ibid.*) While the court may place reliance on the competence and integrity of counsel, "the court must also receive and consider enough information about the nature and magnitude of the

¹ See Motion, p. 10:8-14.

claims being settled, as well as the impediments to recovery, to make an independent assessment of the reasonableness of the terms to which the parties have agreed.” (*Id.* at p. 133.)

Accordingly, the motion shall be CONTINUED, and prior to the continued hearing, Plaintiffs’ counsel shall file a supplemental declaration providing further information and explanation regarding the Defendants’ estimated total maximum exposure as well as the rationale supporting the discounts applied.

C. Service Award, Fees and Costs

Plaintiffs request service awards of \$10,000 to Plaintiff Newhouse and \$5,000 to Plaintiff Cristobal, for a total of \$15,000. (Motion, pp. 24:10-25:11.)

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit. Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiff Newhouse has submitted a declaration describing his participation in this action, which has included communication with counsel, gathering documents, and reviewing case documents. (Declaration of Marcell Newhouse, ¶¶ 2-5.) Plaintiff Newhouse estimates that he has spent approximately 17 hours working on this case. (*Ibid.*) Plaintiff Cristobal has submitted a declaration describing her participation in this action, which has included communication with counsel, gathering documents, and reviewing case documents. (Declaration of Abigail Cristobal, ¶¶ 2-5.) Plaintiff Cristobal estimates that she has spent approximately 16 hours working on this case. (*Ibid.*)

While the court agrees that service awards are justified in this case, the amounts requested are more than the court normally awards in similar situations. It also appears that the Plaintiffs have each spent a similar amount of time working on this action, suggesting that their respective service awards should be similar. Accordingly, the court approves services awards of \$5,000 each to the two named Plaintiffs, for a total of \$10,000 in service awards.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Plaintiffs' counsel will seek attorney fees of up to one-third of the gross settlement amount (currently estimated to be \$490,000). Prior to the final approval hearing, Plaintiffs' counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred and settlement administration expenses.

D. Conditional Certification of Class

Plaintiff requests that the class be conditionally certified for purposes of the settlement. Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court . . .” As interpreted by the California Supreme Court, section 382 requires: (1) an ascertainable class; and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326 (*Sav-On*).)

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact; (2) class representatives with claims or defenses typical of the class; and, (3) class representatives who can adequately represent the class. (*Sav-On, supra*, 34 Cal.4th at p. 326.) “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged

wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.) As explained by the California Supreme Court,

The certification question is essentially a procedural one that does not ask whether an action is legally or factually meritorious. A trial court ruling on a certification motion determines whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be advantageous to the judicial process and to the litigants.

(*Sav-On, supra*, 34 Cal.4th at p. 326, internal punctuation and citations omitted.)

Plaintiff states there are approximately 514 class members, who can be identified from a review of Defendant’s records. (Motion, p. 15:11; Mayer Decl., ¶ 9.) There are common questions regarding whether class members were subjected to common practices that violated wage and hour laws. No issue has been raised regarding the typicality or adequacy of Plaintiff as class representative. Therefore, the court finds that the proposed class should be conditionally certified for settlement purposes.

E. Class Notice

The content of a class notice is subject to court approval. “If the court has certified the action as a class action, notice of the final approval hearing must be given to the class members in the manner specified by the court.” (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the form of the notice is generally adequate. (Agreement, Ex. A.) It describes the lawsuit, explains the settlement, and instructs class members that they may opt out of the

settlement or object. The settlement amounts, including attorney fees and payment to the named plaintiff, are stated. The notice informs class members that they may appear at the final fairness hearing.

However, section IV.D of the notice implies that Class Members must have filed a written objection before they may state an objection orally at the final approval hearing. This portion of the notice must be modified to clarify that a Class Member may object simply by appearing at the final approval hearing.

In addition, the court requests that the following language regarding the final approval hearing be added to the notice:

Class members may appear at the final approval hearing in person or remotely using the Microsoft Teams link for Department 19 (Afternoon Session), and should review the remote appearance instructions beforehand:

https://www.sccscourt.org/general_info/ra_teams/video_hearings_teams.shtml

Class members who wish to appear remotely are encouraged to contact class counsel at least three days before the hearing, if possible, so that potential technology or audibility issues can be avoided or minimized.

On the condition that the parties make the above changes to the notice prior to its mailing, the notice is approved.

IV. CONCLUSION

The motion for preliminary approval of the settlement is **CONTINUED to April 2, 2025**, at 1:30 p.m. in Department 19. Plaintiffs' counsel shall file a supplemental declaration providing further information and explanation regarding the Defendants' estimated total maximum exposure as well as the rationale supporting the discounts applied.

Plaintiff shall prepare the order in accordance with California Rules of Court, rule 3.1312.

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Calendar Line 2

Case Name:

Case No.:

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Calendar Line 3

Case Name: Snow v. Lee's Sandwich Corporation, et al. (Class Action/PAGA)
Case No.: 23CV410621

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on March 12, 2025, at 1:30 p.m. in Department 19. The court now issues its tentative ruling as follows:

I. INTRODUCTION

This is a putative class and representative action arising from alleged wage and hour violations. On January 31, 2023, plaintiff Waladin Snow ("Plaintiff") began this action filing a class action complaint against defendant Lee's Sandwich Corporation and Lee's Sandwiches International, Inc.

On April 10, 2023, Plaintiff filed the operative first amended class action complaint against defendants Lee's Sandwiches International, Inc., CBET Corporation ("Defendant"), and Lee's Sandwiches, asserting the following causes of action: (1) unfair business competition; (2) failure to pay minimum wages; (3) failure to pay overtime wages; (4) failure to provide required meal periods; (5) failure to provide required rest periods; (6) failure to provide wages when due; (7) failure to provide accurate itemized statements; (8) failure to reimburse employees for required expenses; and (9) violation of the Private Attorneys General Act ("PAGA").

On July 20, 2023, the court issued an order granting Plaintiff's request to dismiss defendants Lee's Sandwiches International, Inc. and Lee's Sandwiches without prejudice.

The parties have reached a settlement. Plaintiff now moves for preliminary approval of the settlement. The motion is unopposed.

II. LEGAL STANDARD FOR SETTLEMENT AGREEMENTS

A. Class Action